

The Long Bond Is Not the Fed

The thirty-year broke to a nineteen-year high overnight while equities barely moved, and the three markets are not saying the same thing.

THE READING

US stocks closed Monday lower without much conviction. The S&P 500 fell 0.52% to 7,745.06, the Dow 272.63 points to 53,459.78, the Nasdaq 0.32% to 26,644.91.

The bond market moved less and meant more. The thirty-year yield rose above 5.311%, its highest since June 2007. The ten-year finished at 4.724%, at the top of Hedgeye's 4.60–4.74 band. The two-year rose barely a basis point, to 4.182%. Brent held near \$88 as the sixty-day US–Iran deadline expired with Tehran ruling out reopened talks. So: the long end at a nineteen-year high, the front end almost still, equities down half a percent.

WHAT WISDOM WOULD SAY

Joseph Butler wrote in the preface to his Fifteen Sermons, in 1726, that “Every thing is what it is, and not another thing.” His target was the habit of explaining one thing away as really being some other thing — conscience as really self-interest, duty as really appetite. The reduction feels like insight. Mostly it is a loss of information.

The temptation this morning is the same in miniature. A thirty-year yield at a nineteen-year high can be read as a Fed signal, a recession signal, or a verdict on equities. It is none of those. It is the price of lending to the US government for thirty years, set by term premium, by supply, by an oil price that will not settle, and by doubt that inflation returns to target. The two-year is where the Fed lives, and the two-year did not move. The equity market is answering a third question: whether earnings survive the next two quarters. Compress the three into one story and the book gets sized against the wrong risk.

THE RISK IT JUSTIFIES

The practical form is narrow. Do not let the long end change the equity book today, and do not let a quiet equity tape talk you out of

respecting the long end. Separate decisions, separate evidence.

For equities, today brings Home Depot before the open and Reddit's index entry, neither of which is a macro fact, and the July minutes tomorrow afternoon in New York, which is. Friday removes the August expiry and the dealer hedging that has damped this tape. That argues for carrying what is on and adding nothing before the minutes.

For duration, a nineteen-year high is not a reason to buy. It is a high because the things setting it have not resolved. What would change the answer is the shape: if the two-year starts following the thirty-year up, the story stops being term premium and becomes policy, and that is a different book with a different size.

*What would the two-year have to do before you let the
thirty-year change your mind?*